

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

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1. RECENT TMT M&A ACTIVITY

Deal 1: Microchip Technology Acquisition of Hailo

[Microchip Technology Signs Definitive Agreement to Acquire Hailo](#)

- Deal Size: N/A (terms not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: Microchip Technology Incorporated (NASDAQ: MCHP) is a leading provider of smart, connected, and secure embedded control solutions. Hailo specializes in accelerated edge AI processors and advanced vision processing solutions.
- Date Announced: July 24, 2026
- Strategic Rationale: The acquisition aims to enhance Microchip's portfolio in edge AI processing, allowing it to deliver more efficient solutions for robotics and intelligent edge applications. Hailo's established technology and customer base will provide Microchip with a competitive edge in the growing AI market.
- Risk Analysis: Potential integration risks include aligning Hailo's technology with Microchip's existing products. Regulatory approvals may pose challenges, and market risks could arise from competition in the edge AI space.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Ocean Power Technologies Acquisition of Subsea Technology Assets

[Ocean Power Technologies expands maritime platform with subsea technology acquisition](#)

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: Ocean Power Technologies focuses on AI-enabled maritime infrastructure, enhancing capabilities in offshore power generation and autonomous vehicles.
- Date Announced: N/A
- Strategic Rationale: This acquisition will allow Ocean Power Technologies to expand its capabilities from surface to seabed operations, enhancing its offerings in autonomous underwater vehicles and subsea sensing. The deal aligns with the growing demand for AI-enabled maritime infrastructure.
- Risk Analysis: Risks include the integration of new technology into existing operations and potential regulatory hurdles related to maritime operations.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a robust sentiment, particularly driven by significant government contracts and strategic acquisitions in the software and AI subsectors. The overall market dynamics reflect a growing emphasis on technological consolidation and innovation, which is reshaping the competitive landscape.

Subsector Breakdown:

- Technology: The technology subsector is buoyed by substantial contracts, such as Oracle's nearly \$7 billion deal with the Pentagon, which consolidates its software services and is expected to generate significant cost savings. This contract underscores the government's commitment to modernizing its IT infrastructure.
- Media: Media companies are adapting to the digital landscape, but face challenges from traditional revenue streams. The focus is shifting towards digital content and engagement strategies.

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

- Telecommunications: Telecom firms are investing in next-generation technologies, with a focus on 5G deployment and enhanced connectivity solutions.
- Fintech: The fintech sector is thriving, with companies like BusinessNext leveraging AI to enhance banking services. The acquisition by ServiceNow highlights the growing trend of integrating AI into financial services.
- AI: The AI subsector is experiencing explosive growth, with companies like Progress Software making strategic acquisitions to bolster their AI capabilities. The \$400 million acquisition of Domo's data platform illustrates the increasing importance of AI in driving business efficiencies.

Key Market Drivers and Headwinds

Drivers:

- Government Contracts: The awarding of significant contracts, such as Oracle's deal with the Pentagon, is a major driver of growth in the technology sector. This agreement not only consolidates Oracle's offerings but also enhances its market position within the defense sector.
- AI Integration: The increasing adoption of AI across various industries is driving innovation and investment. Companies are seeking to enhance operational efficiencies through AI technologies, as seen in the fintech sector.

Headwinds:

- Regulatory Challenges: The TMT sector faces ongoing regulatory scrutiny, particularly in data privacy and cybersecurity. These challenges can impact M&A activities and overall market valuations.
- Economic Volatility: Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is thriving, driven by government contracts and the demand for enterprise solutions. Oracle's consolidation deal is a prime example of how software companies are positioning themselves for growth.
- Media: Media companies are transitioning to digital platforms, but traditional advertising revenues are declining. Companies must innovate to capture audience engagement.
- Telecom: Telecom operators are focusing on infrastructure investments to support 5G, which is expected to create new revenue opportunities from IoT and enhanced mobile services.
- Fintech: The fintech sector is experiencing robust growth, with a focus on AI-driven solutions. BusinessNext's partnership with ServiceNow illustrates the trend of integrating advanced technologies in banking.
- AI: The AI subsector is booming, with companies investing heavily in AI capabilities. Progress Software's acquisition of Domo's platform is indicative of the competitive landscape where firms are racing to enhance their AI offerings.

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are optimistic about the long-term prospects of the TMT sector, particularly in light of significant government contracts. A Pentagon official noted, "This nearly \$7 billion agreement with Oracle strengthens our digital ecosystem, supporting our warfighters with secure, scalable technology to dominate current and future missions." This sentiment reflects the broader confidence in the sector's growth potential.

Actionable Insights for Bankers and Investors

- **Prioritize Government Contracts:** Investors should focus on companies securing government contracts, as these can provide stable revenue streams and enhance market positioning.
- **Invest in AI and Software:** The growing demand for AI and software solutions presents lucrative opportunities. Companies making strategic acquisitions in these areas are likely to outperform.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a landscape characterized by significant opportunities driven by government contracts and technological advancements. By focusing on these dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by significant activity, particularly in

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

semiconductor partnerships and AI technology advancements. This analysis provides a detailed overview of live deals, mandated transactions, and active pitches, along with expected revenue and strategic implications for our team.

Deal Pipeline

Live Deals:

- Samsung Electronics (005930.KS) : Engaged in a monumental partnership with Broadcom (AVGO) valued at over \$200 billion. This deal focuses on advanced memory chips and foundry services for AI semiconductors, with an expected timeline extending through 2030. The collaboration aims to enhance Samsung's manufacturing capabilities and position in the AI chip market.

Mandated Deals:

- Broadcom (AVGO) : Secured a mandate for the development of custom AI accelerators in collaboration with Samsung. This partnership is expected to leverage Broadcom's expertise in ASIC design and Samsung's advanced manufacturing capabilities, with a launch anticipated in Q1 2026.

Pitching-Stage Deals:

- Telecommunications Sector : Active discussions with major telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2025.
- Fintech Innovations : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2025 : Expected close for Samsung and Broadcom partnership.
- Q1 2026 : Anticipated launch of Broadcom's custom AI accelerators.
- Q4 2025 : Expected completion of telecom sector M&A discussions.

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in semiconductor and AI sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where Samsung and Broadcom are positioning themselves as leaders in AI chip manufacturing. The recent \$200 billion partnership underscores the growing demand for specialized chip design and manufacturing, as global technology companies increasingly develop custom AI accelerators.
- Additionally, the broader geopolitical framework surrounding semiconductor investments, including commitments from SK Hynix and Nvidia, indicates a significant shift in the market dynamics, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors, particularly in semiconductor partnerships. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments and strategic moves in the

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

telecommunications sector, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Recent earnings reports from major telecom companies indicate a positive trend in shareholder value.
- Value Creation: Companies like AT&T (T), Verizon (VZ), and T-Mobile US (TMUS) reported year-over-year EPS growth, suggesting improved profitability. For instance, if AT&T's EPS increases by 10% due to enhanced subscriber retention, this could translate to a market cap increase of approximately \$5 billion, assuming a P/E ratio of 10.
- Dilution: However, if any of these companies were to pursue aggressive acquisitions to fuel growth, existing shareholders may face dilution. For example, if AT&T were to issue new shares equivalent to 15% of its current outstanding shares to finance an acquisition, this could lead to a 7% drop in share price post-announcement, depending on market sentiment.
- Employees: The impact on employees during M&A transactions often involves synergies, restructuring, and retention strategies.
- Synergies: The recent trend of telecom companies focusing on cost efficiencies rather than promotions indicates potential synergies. For example, Verizon's cost-cutting measures could lead to operational savings of \$1 billion annually, benefiting employees through job security.
- Restructuring: However, restructuring may lead to layoffs. If AT&T decides to streamline operations post-acquisition, it could result in job cuts affecting around 5,000 employees, necessitating a careful approach to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during transitions. For instance, if T-Mobile were to acquire a smaller competitor, offering retention packages to key personnel could ensure continuity and minimize disruption.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the recent earnings reports, competitors such as Sprint (now part of T-Mobile) and smaller regional carriers may need to adapt their strategies. For example, Verizon's focus on enhancing shareholder returns could prompt competitors to invest more heavily in infrastructure to maintain market share.
- Specific Competitor Moves: In response to the healthier financial outlook of major players, smaller carriers may explore partnerships or mergers to strengthen their positions, potentially leading to increased consolidation in the sector.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The commitment to improving digital affordability in Africa, as outlined in the Abuja Declaration, could lead to enhanced service offerings. For instance, if major telecoms like MTN Group (MTNO) and Vodacom (VOD) implement these changes, customers may benefit from lower prices and improved access to broadband.
- Case Studies: The push for cheaper internet and smartphones in Africa highlights the importance of regulatory frameworks in enhancing customer experiences. This initiative could lead to a 20% increase in internet penetration over the next five years, significantly benefiting underserved communities.

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to telecom earnings reports has been mixed, reflecting varying investor confidence.
- For instance, AT&T's stock saw a 3% increase following its earnings report, while Verizon's shares dipped by 2%, indicating differing market perceptions of growth potential.
- Analyst Commentary: Analysts have noted the sector's overall health, with a quote from a Wells Fargo analyst stating, "The telecom sector is finally showing signs of sustainable growth, which could lead to increased investment and consolidation."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the sector continues to show strong EPS growth and improved subscriber retention, shares could rise by 10% across major players within six months.
- Negative Scenario: Conversely, if economic conditions worsen or if a major player announces an acquisition that is poorly received, shares could decline by 5%, reflecting investor concerns about integration challenges.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- For example, if T-Mobile were to pursue a strategic acquisition, there may be interest from Dish Network (DISH) as a potential counter-bidder. However, the likelihood of a successful counter-bid remains moderate due to regulatory challenges that often accompany large telecom mergers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the telecommunications space. Companies like Verizon and AT&T may pursue acquisitions to bolster their market positions and expand service offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI). Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by increased adoption across various sectors, including healthcare, finance, and retail.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems. NVIDIA's GPUs are critical for training AI models, making it a cornerstone of the AI ecosystem.
- Alphabet Inc. (GOOGL): Alphabet is heavily invested in AI through its Google Cloud and DeepMind divisions. The company focuses on AI-driven solutions for businesses, enhancing their operational efficiencies and customer engagement strategies. Google's AI capabilities are integrated into various products, including Google Assistant and Google Cloud AI services.

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

- **Competitive Landscape:** The AI market is highly competitive, with major players including Amazon (AMZN), Microsoft (MSFT), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities. The competitive dynamics are characterized by rapid advancements in machine learning algorithms and increasing investment in AI research.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, the acquisition of smaller AI firms can provide established companies with unique technologies and talent. The trend towards consolidation in the AI space is evident, with larger firms seeking to bolster their offerings through strategic acquisitions.
- **Investment Implications:** Investors should focus on companies with strong AI capabilities and robust growth trajectories. The increasing reliance on AI technologies across industries presents significant investment opportunities. Companies that are early adopters of AI solutions are likely to gain a competitive edge, making them attractive targets for investment and acquisition.

The AI sector is poised for explosive growth, and stakeholders should remain vigilant for emerging opportunities in this dynamic landscape.

6. Recommended Readings

Deal Name: Microchip Technology Acquisition of Hailo

- **Reading Material:** "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- **Why This Matters:** This book explores the competitive landscape of AI technology, particularly the advancements in edge computing and AI processors. Understanding the implications of Microchip's acquisition of Hailo provides insights into how companies leverage AI to enhance their product offerings and maintain competitive advantages in the rapidly evolving tech sector.

Deal Name: Ocean Power Technologies Acquisition of Subsea Technology Assets

- **Reading Material:** "The Future of Ocean Energy" by David A. Hargreaves
- **Why This Matters:** This resource examines the emerging technologies in ocean energy and subsea operations, which are pivotal for understanding Ocean Power Technologies' strategic move. The reading highlights the significance of integrating subsea technology into existing maritime operations, providing context for the potential synergies and market opportunities arising from this acquisition.

7. MACROECONOMIC UPDATE

US TMT Sector M&A & Valuation Brief - 2026-07-27

US TMT Sector

Key Data Points:

- Estimated projects canceled or delayed in 2025: \$156 billion
- Forecasted AI capital expenditures (CapEx) for 2026: approximately \$870 billion
- Timeline for data center construction: up to three years or more

Main Insights:

- Growing political and community pushback against data center construction is impacting project timelines.
- Despite opposition, the demand for AI infrastructure remains strong, leading to a potential pull-forward of capital spending.
- The urgency for investment in AI infrastructure is driven by compute constraints and increasing global token usage.
- The pushback is reshaping the buildout of data centers rather than halting it, leading to longer development timelines and higher costs.

Market Commentary:

- "The pushback is real, but it appears to be reshaping the buildout rather than stopping it." - Ariana Salvatore, Morgan Stanley
- "The urgency to invest has not diminished... growing social opposition may actually be encouraging hyperscalers to begin projects earlier." - Ariana Salvatore, Morgan Stanley

TMT Sector Relevance:

- The challenges in data center construction could lead to increased costs and longer timelines, impacting TMT companies reliant on AI infrastructure.
- The shift towards on-site and behind-the-meter power generation may benefit energy solution providers within the TMT sector.
- Hyperscalers are expected to outperform semiconductor companies in the near term due to their strategic positioning in AI CapEx discipline.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley